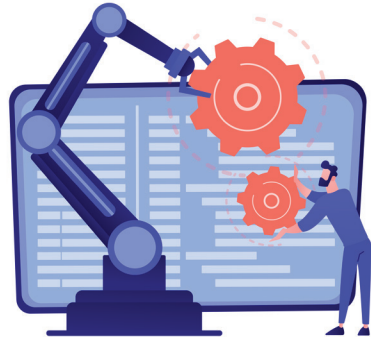


In exact same manner, you must complete income statement for all the previous years. Here, we are creating the raw data that is required for our analytical purposes. On the back end, automatically, a sheet is created. A common size statement is being created that you can use to see the numbers. All these will come handy in subsequent sections of the book where we will be drawing analytical conclusions based on these numbers about how the company is performing.

So, start filling out the income statement. For now, this is all you need to do to get the raw data for the income statement. Now that we have the raw data, everything related to the income statement will be automatically filled in the excel sheet.

We will see that as we enter data in the yellow cells, other cells automatically get filled. These can be used later to draw analytical conclusions.



In the next unit, we will discuss the balance sheet.